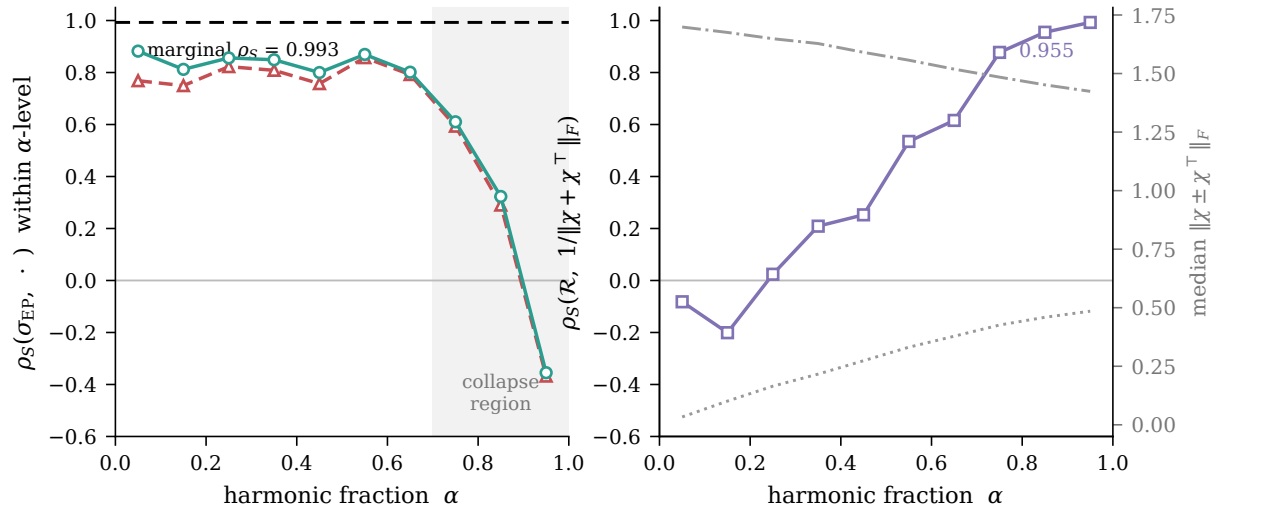


Conditional co-movement collapses ($m = 1$) The mechanism: $\mathcal{R}$ becomes denominator-driven



—○— $\mathcal{R}$ (the ratio)

—△— numerator $\|\chi - \chi^\top\|_F$ alone — the refuted repair (H1)

—□— $1/\text{denominator (H2)}$

— — marginal (unconditional) reference

..... median numerator

— · — median denominator